

Online Travel Agent AI Disruption – 12-24-month Outlook

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Key Insights

- OTAs took 30 years since 1996 to capture c50% market share, making it unlikely that AI challengers will capture 50% market share in the next two years
- Most people will book through ChatGPT only if they believe OpenAI will take care of any issues during their trip and can manage these complexities for the majority of cases
- AI-native platforms such as ChatGPT and Gemini pose a real but limited threat to OTAs, with only c3% of accommodation bookings likely shifting to AI-native transactions in the next 12-24 months
- Unlike OTAs displacing travel agents, AI challengers face a fundamental trust barrier because travellers risk large sums, typically >USD 1,000 per trip, on unproven platforms
- Traditional OTAs' structured amenity filters won't become obsolete. Natural language "vibe matching" still relies on underlying structured data, indicating incumbents must continuously invest in that infrastructure to remain competitive

Expert

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Agenda

- 12-24-month revenue outlook for OTAs (online travel agents) – personalised AI search driving higher booking values for Airbnb (NASDAQ: ABNB), Expedia (NASDAQ: EXPE) and Trip (NASDAQ: TRIP)
- Competitive dynamics – protecting user traffic from direct search threats such as Google (NASDAQ: GOOG), OpenAI and Perplexity
- OPEX outlook – slashing support and ad spend with AI automation
- Market share dynamics

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AA: A very warm welcome to Third Bridge's Interview entitled Online Travel Agent AI Disruption – 12-24-month Outlook. My name is Albie Amankona, and it's a pleasure to be facilitating today's Interview. It's also great to have Sathish Chander Subbaraman joining us, who is the Principal Product Manager, Machine Learning and AI initiatives at Booking Holdings.

Just before we do get started, Sathish, please do just state, I agree or disagree to the following statement, and as always, that statement is that: You understand the definition of material non-public information and agree not to disclose any such information, or any other information which is confidential, during the Interview today.

SCS: Yes, I agree.

AA: Could you give a brief insight into your own background and experience to date?

SCS: All right, I'll do that. I have been in the product management since 2011 and majority of my experience is in travel domain. I worked as a Java developer for British Airways, then I worked in Booking.com for the last nine years. My role in Booking.com, I was in the horizontal team wherein I build machine learning applications for business units across the customer journey, starting from discovery, search, consideration, decision-making, post-purchase and customer service, and also loyalty to retain customers. That's briefly it.

[00:02:21]

Q1: How might conversational discovery across Google's Gemini, ChatGPT, Claude or Perplexity disintermediate traditional search in accommodation? Could that force incumbents such as Airbnb and Expedia to lower direct booking margins or pay higher fees to maintain downstream referral traffic?

SCS: Let me structure my thought first. Is there a threat or not? I'll start from there. Reading the question, disintermediation traditional property search. Will it disintermediate? Yes, to some extent, it can. The second question is, could this force incumbents like Airbnb, Expedia to lower direct booking margins or pay higher fees to maintain? Yes. I think the answer to both of those questions is yes, but how much and for what segments of inventory and for which customer segments is this relevant? How serious is this threat, and how can maybe Expedia or Airbnb or similar other OTAs can build? Maybe a collaboration with AI native channels or they can build their own AI native discovery interface to maintain booking margins. This is all I think I'm going to talk about this. Number one, it is a threat because the traditional OTAs work with verticals. They have multiple tabs on their website for hotels, trains, transport or attractions, but the AI native interfaces summarise and produce recommendations rather than they'll give options and then make users do the heavy work of going through each vertical and then figuring out which one is best to book. Yes, the AI native does the heavy lifting on behalf of the users by looking at the trust signals by sourcing multiple inventories from many, many OTAs. In that case, AI native platforms is a threat.

However, could this be replicated by OTAs like Airbnb and Expedia, so that they can attract or be maybe more user-friendly than AI native interfaces like Mindtrip or Layla. Yes, they can, and they do have the money to invest. They do have the brain power to experiment, and they can piggyback on the LLMs created by OpenAI or Facebook or Gemini to build the same experience that those AI native companies are building. In a sense, yes, there are a few threats like maybe Google Map or Gemini, but however, the OTAs can also build that product discovery experience on their

platforms, so the threat, I would not say it is severe, it is there, but if they put energy in improving their user experience on the discovery phase of travel journey, then they can also capture this customer market who is more willing to make the machines, who's more willing to trust the machines in creating an itinerary. That's one question. Second question is, would it lower direct booking margins? I'm going to look at it in two ways.

One, yes, if a particular, 5% or 10%, I'm just making up some numbers of the traffic that the OTAs Airbnb, Expedia are getting from the AI native platforms like Gemini, ChatGPT, then they would have to pay a referral traffic, and this will impact their direct booking margins. However, it will not reduce their margins so much because the supply is still coming from these OTAs, Expedia and Airbnb, and they do have the modern reservation system, and they still have to manage the payments, fraud and cancellations or any liability, the customer service, etc. Still, they retain the value in realising an actual booking. They might pay some percentage for the referral traffic, but it will not lower their margins drastically.

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Q2: Some experts in previous Third Bridge Interviews seem to think that OTAs [online travel agents] such as Trip, Airbnb, Expedia or others have to partner with LLMs [large language models] to maintain the same amount of traffic for their websites and apps and book through them because a lot of payments have to go through the OTAs rather than the LLMs. Some experts have mentioned that it would be expensive for OTAs to partner with LLMs and that could fundamentally alter the margin and cost structures of these companies because there would be an extra cost of integrating with the AI platforms. Do you disagree with them?

SCS: I think, yes, because I look at it as if you're going to acquire a new customer segment who OTAs, does this Expedia, Airbnb we did not capture before, but these new customer segment is coming only through the LLMs, then it's a new traffic. We may pay the same acquisition cost to get those customers. Then it will not lower their margins. We are only expanding the pipe. The OTAs are increasing their revenue, and why do I say it's a new market? Because traditionally, the discovery of where do I go, where do I stay, etc, happened on Google Search and on Tripadvisor or Lonely Planet. Now all of this could happen in a ChatGPT or Perplexity and the ChatGPT, Perplexity could influence them to book on their platforms, and this is a new traffic. If the existing customer segments for Expedia and Airbnb who come through Google, or for example, Airbnb has a huge direct traffic. If they do not come to Airbnb, but they go to ChatGPT, Perplexity and if Airbnb loses that direct traffic, then it will translate into paying a higher margin, which means they will pay more acquisition cost to get the same business than in the pre-LLM era. That's my logic why I said they will have lower booking margins. If the LLMs are cannibalising their current customer segment, then they will have to pay more booking margins.

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Q3: Do you think there'll be no impact on EBITDA margins when OTAs integrate AI and agentic AI into their platforms over the next 12-24 months?

SCS: Correct. Because yes, I don't think the cannibalisation of the existing customers. These OTAs will not lose their existing customers to LLMs in the next 12-24 months. I do not think so. Customer behaviour changes happen quite slowly, I guess. Yes, correct. I agree with what you said.

[00:13:19]

Q4: Do you think OTAs integrating AI and agentic AI into their platforms would have an impact on their top lines? Could it increase volumes?

SCS: Let me think through. What comes to my mind first is, yes, it can impact top line. Why? It could be because of the product mix, let's say, a particular OTA could be known in a certain market only for hotels, not for alternative accommodations, but with LLMs coming in, they could expose their slow-moving inventories or they could also

package the trip elements like transport, attractions, food, etc, which was not presented so well before in their traditional segmented interface, but now these LLMs could bundle those products from a particular OTA, and this will increase their product mix and sales. On the other hand, if Expedia was successfully selling their packaged bundles, hotels plus flights plus ground transport, but now LLMs could say, "Okay, book flights only from Expedia, but book hotels and attractions from somewhere else because that's cheaper." Now this could lower their top line for Expedia. I think both can happen. I see these two ways. What else? What else can improve top line? I'll stop here if you have any questions, I'll better answer.

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Q5: How could natural language vibe-matching methods of search and multimodal search diminish the traditional advantage of OTAs' structured amenity filters? Might that shift disproportionately benefit someone such as Airbnb vs traditional OTAs, given that they have a unique long-tail inventory? Or could it also benefit AI-native aggregators who are querying direct hotel APIs [application programming interfaces], particularly in the US and North America where, unlike in Europe, customers tend to book directly with large hotel chains such as Marriott, Hilton and Accor, rather than using an OTA to book accommodation?

SCS: Let me read the question again. Natural language vibe matching multimodal search diminished the traditional advantage of Expedia's amenity filters. Question number one. Might the shift disproportionately benefit Airbnb unique long-tail inventory question number two, third is AI native aggregators querying direct. The first question is this vibe matching would it diminish traditional advantage? I think the short answer is no, because the vibe matching or natural language querying could change how users are interfacing on the website, but eventually, those natural languages do map on those structured filters or the labels we attach to the reviews or to the inventory itself because we have to classify cluster photos or the neighbourhood or those amenities, we need to structure them. I think no OTAs would lose their advantage. The structured data will have even more relevance or even they need to be there for this natural language vibe matching to work. OTAs have to continuously have to invest in that technology. That's number one. Second one was, might the shift disproportionately benefit Airbnb's unique long-tail inventory.

AA: AI native aggregators.

SCS: AI native aggregators. I'll say, AI native aggregators, I'm thinking Mindtrip or Layla, those kind of, Momondo for instance. Would this disproportionately benefit Airbnb? It depends. I think what question are we asking? Are we asking about, would this natural language query help exposing or helping Airbnb and AI native aggregators to expose more of their inventories? Now the question, yes, definitely. I think someone with a niche travel wish now will be able to easily discover those long-tail properties or attractions quite easily, but would it automatically translate into more revenue? That, I'm not sure. It could be just someone who couldn't find those long-tail inventory before. They used to go to maybe a traditional hotel, but someone who likes to book a tree house, but they couldn't find that inventory before because of clunky interface.

Now there could be a shift in the revenue, but in the long term maybe in the next 12-24 months, I don't think so there will be a huge jump in the revenue just because those long-tail inventories could be easily discovered through AI interfaces, but in the long term because we do see that the local flavours or the through social media, we find that our influencers are marketing what's available locally, and people do want to experience that. This will, in fact, influence Airbnb and the AI aggregators exposing their unique long-tail inventory. I think in the long term, maybe after two years, after 24 months, there's a huge chance that the Airbnb like AI aggregators top line could grow because they could now sell their long-tail inventory.

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Q6: By how much do you think AI-driven discovery could boost revenue for AI aggregators in the next 12-24 months? Would it happen in the next couple of years, or would it take a bit

more time?

SCS: It's going to take time. Why I say this is because majority of the travel is very heavily on people visiting the same landmarks attractions. The segment which seeks out the niche experiences is very small now. It depends on which market we are looking at. Are we looking at a developed market, let's say, Europe, where they seek unique experiences, then yes, in those segments, it will grow, but if you look at Asian market, let's say, India or Southeast Asian countries, maybe they are now have started travelling. They are spending money on these experiences. I think they will only go to this typical landmarks, and they will not seek out the once-in-a-lifetime niche experiences. My answer is depending on the market, the revenue would grow for these companies. I would bet more likely in western European countries plus US, there could be a chance where Airbnb aggregators could increase the revenue on long-tail inventory, but not in other markets.

AA: By how much percentage would you say within a two-year period? I appreciate that it might not be in the coming two years, but when it does happen within a two-year period, how much could top-line revenue increase on account of the reasons that we've discussed?

SCS: How much? Let me think. I'm going to take a typical European leader and travel leader, more than 50-60% of your revenue is coming from the developed markets. For them, currently, the majority of their booking is coming from people who are 25-50, but in the next two years, the more gen Z travellers who are more influenced by the local influences and they want to experience those authentic local culture. I'm just thinking if that group today is 20-30% in two years' time, they would spend more. I would say less than 5% is what ballpark number, because currently, the gen Z, I think they contribute to maximum 20% or less than 15% of their OTA revenue. In the next two years, they're seeking out long-tail inventory will grow. I would expect that segment to grow from 15% today is some ballpark number to maybe 16% or 17% in the next two years.

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Q7: What proportion of accommodation bookings could have the best chance of being booked through the new way of booking that we've discussed, which traditional OTAs are less good at and Airbnb, AI-native aggregators and influencers might be better at?

SCS: I'm thinking in two ways. I'm thinking from the angle of customer segments. One, there's a shift in the existing customer segment's booking behaviour that could change. Second one is we acquire new type of customers. Let's say, shift in customer behaviour, I'll take that first. I'll go with the demographic cut on customer segments, people who are maybe more than 50-80. I think these travellers, they are also high. They spend a lot because they stay in luxury resorts, etc, but I'm guessing they will not shift to book from AI platforms, but they'll stick to the known brands, known OTA brands that they have booked for their entire lifetime. Other age groups, let's say, less than 50, they will try out AI native booking experience through universal commerce protocol. Your question was how much? I think they will be first risk-averse. They will not trust the AI native platforms with their money because travel is a huge expense.

A typical three days or two days weekend travel would cost at least USD 300-400 for a hotel plus USD 300-400 for flights plus the same similar proportion for other expenses, so USD 1,000-1,200, we just take USD 1,000. If that is the case, they will trust AI platform in the next 24 months to only do where the accommodation is really cancellable and they will only go for that purchase, which I would say today, the weekend travel segment, couples travelling for a weekend is nearly ballpark number, 30-40% OTA. How many of them would be early adopters in this? I think less than 10% will be early adopters who try on native platform, automated booking. In that 10%, I would say maximum 10%, but that's an optimistic number. Even in the 10%, my best guess is maybe 3% is what would actually try out. I would say 3% of current accommodation bookings might shift from OTAs to AI native transactions.

AA: That would be in the short term, so the next couple of years?

SCS: Yes, I think so. It can happen.

[00:30:09]

Q8: Would you expect the share of AI-native bookings to grow in the long term, or do you think OTAs would develop solutions that can cater to that market, so maybe that 3% comes back and it's all mitigated? What might that percentage look like over 3-5 years?

SCS: First question is do I think will that number would grow in the future? I think the percentage of transactions happening on AI platforms, be it ChatGPT or an AI platform built by the OTAs. By that, a conversation platform, not just click interface will definitely grow, but who will win the AI native platform is ChatGPT or OTAs, I think that's a question. There are multiple other factors play because the OTAs, it comes to the cultural change in the company because they have been investing heavily in incentivising their managers, their whole programme is around how to generate money from existing verticals or pages, and there needs to be a change of culture to actually take risk in building this new conversational interface to try and fail and figure out the best user experience to enable AI native transactions. That's a big question. If someone succeeds, and that's a big if because Google or Meta or Amazon, they invest quite heavily on the user experience to make this AI native transactions success. These OTAs winning against these big companies or any maybe a start-up whose life dependent on making that their start-up successful and the AI transaction successful is less likely, I would say.

Second one is, Amazon or Google, besides an amazing user experience that they can build, which will influence more transactions on AI native, they also train user behaviour basically. They are the defined user experience today, and let's say, Amazon learns by selling millions of product every day, and they can fine-tune their user experience from the other product that they sell through AI native interface. Google does learn every day from their multiple products, how people search, how they expose it and they also create trust because people do trust Google more than any particular OTAs. For user experience reason, for trust reason and also the learning that they gain through their multiple verticals, these AI native companies like Google, Meta, I think they will be the leaders in AI transactions and OTA a very less chance of becoming a leader in AI native transactions, but will this segment grow? Yes, for sure.

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Q9: How does travel compare to what we've been discussing regarding accommodation? What proportion of traditional OTAs' travel bookings could be at risk from AI-native aggregators and travel and transport technology companies that are embracing AI?

SCS: How will transport bookings evolve? What would happen to the revenues generated by OTAs? Will there be any shift to AI native platforms? I think so. Before answering that, I'm going to split this transport into two broad segments. One is the spontaneous booking. Second one is planned booking. I'm thinking airport transfer to hotel, it's mostly planned, less spontaneous. I would say, yes, in these two groups, I think the OTAs' revenue coming from this planned transport, airport to hotels or hotels to airport or travel from one city to another where you need to prebook because there won't be any availability for the trains. Sorry, did you ask only the ground transport or including trains?

AA: Transport in general, including trains. We're talking about air travel and rail, not cars, and maybe coaches as well. Basically, we're talking about public transport.

SCS: I think if it's going to be air transport and trains, which we usually then book quite ahead of time. Most of that is planned rather than spontaneous. There are a segment of travellers who do last-minute trip, which is quite big ballpark number, let's say, the high more than 15% for that segment, where they book spontaneously. I think for them, there is a chance that the AI native platforms cannibalise the revenue away from OTAs. For the majority of the traveller, everything is preplanned. They book flights, they book trains or the public transport from one city to another. That would happen in OTAs, aggregators. Still, just like how we discussed for hotels, the discovery of those products could happen or slowly starting to shift to AI platforms. Similarly, a segment of travellers who are willing to risk their money in a sense, I'm going to book my flight on ChatGPT, but will I get a customer support if it gets cancelled or if there is any major disruption, who will I contact or how will I purchase insurance for it? I think these are all high-risk items and only a very select small

segment of users will be willing to take the risk.

I would still say that segment of users would be even lesser than the 3% I said for accommodations because in accommodations, we at least had those free cancellations. Some significant amount of properties do give free cancellation. With flight and trains, the free cancellation is available, but it comes with a huge extra cost. For that reason, my estimate would be even less than 5% or 3% for the customers who plan their trip would use the native platforms to make the transaction. I think my answer is, it will be more close to less than 5%.

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Q10: Do you see the aforementioned proportion of AI-native transport bookings getting bigger over the next 3-5 years, or do you see OTAs evolving and being able to service that market, although it is quite small?

SCS: I think it will grow. The segment that I was referring to was those weekend trip with a budget of less than EUR 1,000. This is the trip and then 10% right now, nearly 30% and less than 10% would be the early adopters. In that, I conservatively took, let's say, 3% as the risk takers. This segment would grow as they gain more confidence in the next two years by doing other purchases, let's say, Amazon purchases on AI native platforms as they gain more and more confidence that their transactions go through successfully, and they also get post-purchase customer support from the OTAs or from the suppliers as they gain more confidence, this number would grow. Yes, it heavily hinges on the post-purchase trust. If that trust is built slowly and slowly by having a strong collaboration between AI native platforms and the OTAs or the inventory suppliers, then this segment will grow.

AA: You don't think AI would have much impact on the traditional OTA industry in the next 12-24 months or in the next five years. You don't think there would be much impact on EBITDA margins, and the potential impact on bookings will be in the low-single digits. Is that correct?

SCS: Correct. Yes.

[00:42:46]

Q11: Experts in previous Third Bridge Interviews have noted that there could be a much bigger opportunity for an AI-native challenger to come in and challenge the incumbents. Some of them think AI could be as big a disruption to OTAs as OTAs were to travel agents on high streets. You don't seem to have that opinion. Why do you think they were wrong?

SCS: Let's say, the reasoning is OTAs disrupted travel agents and similarly AI challengers would disrupt OTAs. My question is, okay, is the dynamic same? Even if the dynamic is same, I just want to challenge are the OTAs successful because I still think there's a lot to grow because I think the travel industry is nearly USD 1.3tn or let's say, USD 1tn or it will reach USD 1.3tn by 2030. Still, the OTAs' revenues are, I think, USD 600bn or so. Still a lot of transactions are happening offline. People directly have to book at the hotels or they have loyalty points, for example, in the US, they book directly with the brands. Many in-trip purchases happen spontaneously. The OTAs took, I think, from 1996-26, I think they took almost 30 years to maybe capture 50% of the market. Will AI challengers capture 50% of the market in the next two years? I don't think so because one main factor, which is the trust.

If users do not trust that they will get the product or the value for their money, then they will not jump to AI native platform just because it is easy. They might use AI native platform to do the research, but still go to the brand, which promises them for the value they booked or promises them to reimburse for any loss that they had. I think whoever solves this trust problem first, be it AI native or OTAs, they will win. I think irrespective of the interface, whoever has this high social proof and evidence that they will take care of your money and fulfil your experience as promises, then they will win. I think those factors are not clear today. That's why I don't completely agree. I don't know who has solved those trust building, let's say, who has figured out all those levers to increase trust in this AI native platforms. Unless we know

those factors, I would not agree that AI platforms will challenge OTAs.

AA: That is because of the trust factor that OTAs have and the amount of money that people are parting with when booking holidays and travel.

SCS: Correct. AI platforms do an amazing customer user experience, but does that user experience is just enough to part my money? I would say not.

[00:47:17]

Q12: There is an argument that when people moved from going to a travel agent on a high street to an online platform such as Expedia, Trip or Airbnb, it created an entirely new category of accommodation that was embraced very quickly. These changes can happen quite quickly and Airbnb is a good example of that. Could something such as this happen for the OTA industry in terms of a new AI-native challenger that potentially builds a solution that customers like and is very easy to use? If that happens, there would be a new OTA category to contend with, similar to when Airbnb entered the market and changed accommodation bookings.

SCS: That's a fair example where Airbnb defined that even I can trust someone who doesn't have any brand, but I can just stay in someone else's house and they'll have a good experience. Yes, they built this trust factor for a decade. They did. Uber, they did, I think all those gig economies, I think they did define that I can also trust someone without the brand, but I still trust the reviews given for those hosts or for the Uber drivers. I think that's the main driver I see still coming down to the trust factor, be it a non-branded individual or a branded website or a branded hotel chain, it comes down to who do I trust? When it comes to AI challengers, will I book with ChatGPT because, let's say, most of the people have said, okay, anything that happens during my trip, ChatGPT, OpenAI will take care of it. They will reimburse 100% or they will give me some loyalty points or they will make sure they will book an alternate trip. If they can manage these complexities for majority, let's say, 80% of the transactions that go through ChatGPT for travel, then I think people will trust it.

The question is, will Gemini or Google or OpenAI or Meta, will they invest their time and energy for one industry, just travel is one industry. They take care of many industries like fashion, retail, fast-moving goods. People want to use ChatGPT for all the things. What is the priority of OpenAI, Google in enabling transactions or increasing transactions for travel industry if all of them are hell-bent on increasing their travel transactions on the platforms, then they will also have to invest in collecting reviews, managing frauds or managing the post-booking cancellations or reimbursements or, let's say, chargebacks in the payments, etc, etc. If they do it either by themselves or with OTAs as partners and they demonstrate to the end user that their money is safe, then this can happen because Airbnb and Uber, they did it and they proved that the users had a value and they proved it with reviews, etc.

If these AI challengers can also prove that any dollar spent on their platform is safe, then they will win. A lot depends on these four or five big players, let's say, I'm thinking of Anthropic, perhaps Meta, Microsoft, I don't think so Microsoft much, but Google or perhaps in the DeepSeek kind of property. It lot depends on where they want to focus. Do they want to focus on travel industry and will they build this downstream processes by themselves or with the OTAs as partners. If they do that, then the segment will grow. This behaviour booking in AI native platforms will grow. Otherwise, it will be slow.

[00:53:01]

Q13: What upside or downside do you think there is in terms of how AI might enable traditional OTAs to increase the basket size that people are booking through their platforms by recommending experiences and things that people can do while on holiday – cross-selling

more effectively, adding extra products such as insurance or car rentals or pushing subscriptions? How might OTA platforms embracing AI enable them to upsell, cross-sell and bundle more effectively in the next 12-24 months? Do you think that is possible?

SCS: Is it possible or not? Maybe first, I'll pick up the potential. I do strongly believe in the potential of AI enabling cross-selling or even upselling with convincing explanation why it is good for that user in that trip. The pre-LLM era where the technology was not that advanced to take in the user's subjective preferences as well as the inventories, the demand subjective preferences constraints vs the supply inventories let's say, inventories to reviews and the images that each inventory had, which explained what each inventory could provide to the user. We couldn't clearly match inventory with the demand. We were able to match only based on the price, availability and the location. Let's say, these are the three main things, basically travel product needs. Now with LLMs, we could do this contextualised for in this trip as a person as Sathish, what are his preferences and constraints this LLM can understand. It can also match it with the inventory. This is possible now. That is why a cross-selling or upselling with convincing reason or to increase the basket of the number of things that I could buy from one OTA is possible to design and also recommend it convincingly to one user. This potential is there today with the help of LLMs.

Now is it possible to sell it now I think it's possible. Let's say, for example, a big brand like Expedia or Airbnb, who has built trust on one vertical, let's say, on accommodations or Airbnb has built trust on alternative accommodations, and they are trying to build their experiences inventory and they want to sell that. I think they can piggyback on that trust and then crafting a right experience to their package. These established OTAs or incumbents also have the cash to try out incentives to add in some free attractions to push their products because right now, they can push the products that match users' preferences. Before LLMs, they couldn't do, they will only put the most famous experiences and attractions to their package. Today, they can increase their bundling mix, more suited for users' taste and constraints rather than optimising only for their revenue. I think because now we have this lever to fine-tune the inventory bundling or cross-selling, upselling for user preferences, it's also possible to increase their revenue today.

AA: By how much could that increase revenue in the next 12-24 months?

SCS: The next 12-24 months, I think still the number of people who buy bundled products on OTAs, leaving out the TUI or Thomas Cook kind of customers, but only on OTAs, I would say less than 20% buy bundled products. How much will this segment grow is the question in other words. I would say with AI building the itinerary and matching my preferences and designing the itinerary for my taste, plus they can optimise the overall price because if I were to book flights, hotels, transport separately, it would cost more than an OTA purchasing those inventory at a lower cost and then bundling it at an optimal price. For these reasons, for three reasons, this segment will grow, how much will it grow? I'm thinking of a logic to explain. I'm going to take this again as right now, I see maybe 8-10% of the people in... I think I read in Expedia survey or somewhere are willing to trust LLMs to make a booking. If these are the people who are going to trust LLMs... Sorry, 8-10% of the people who now use AI to plan their trip. If they're going to also trust LLM's itinerary and then buy those products, which are cross or upsold, then maximum, I would say, 8-10%. Conservatively, I would say maybe again, 5% at best.

[01:01:00]

Q14: Is there anything else that you think is important to highlight regarding OTA AI disruption?

SCS: I think my personal observation is a lot of those questions are dependent on which markets we are operating in. For example, I saw in Japan almost two years ago, everybody was adopting AI even to answer... In the municipal office that I went to, they used AI to answer questions, but it was not the case in Netherlands. I think some markets are hugely AI friendly. Some markets are not. Also, it depends on the culture. If trust is part of their culture, I think they will also trust the AI engine, especially if they know that the companies who operate in their land would honour the trust. I think the cultural context is also very important in deciding which markets to pilot and test the new ideas in the AI. Yes, this is the only thing I would add.

[01:02:27]

Q15: Which cultures and markets could potentially most trust an AI OTA and therefore, pose the most risk for traditional OTAs from AI-native challengers?

SCS: For me, Japan comes to my mind first, then western European countries because I don't know about the USA market. I think maybe a particular segment of... I don't know about the US market, but western European market for sure, let's say, Netherlands, Germany, France, UK, then Japan, Australia, then also, this is a geographical segment. I can also go with the people income segment. People who have the budget to lose money but try out. They will not feel the pinch when they lose money. I think the high-income category group, I think this is a group where we can try. I really don't know how an OTA can spot these high-income group and then test. Probably that's not a recommendation I would make. Only I'll stop at the geo level segmentation where we can test these ideas.

AA: Thank you so much. It's been great to chat.

SCS: Thank you.

Transcription ends at 01:04:41 of the recorded material

If you'd like to speak to Sathish Chander Subbaraman in a private call or meeting, please let your relationship manager know.

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